3.3.2 Price elasticity of demand

Unit 3.3 Marketing management · 8 key points

- **Price elasticity of demand (PED):** % change in quantity demanded ÷ % change in price
- **Price elastic:** PED more than 1 (ignoring the minus sign); quantity changes by more than price
- **Price inelastic:** PED less than 1; quantity changes by less than price
- **Inelastic and price rise:** revenue rises
- **Elastic and price rise:** revenue falls
- **Influences on PED:** number of substitutes, brand loyalty, necessity, proportion of income
- **Value to marketers:** helps set prices and forecast revenue
- **Trap:** inelastic does not mean demand stays the same